

THEME 1 TOPIC 1

- The dynamic nature of business
 - **Why new business ideas come about?**
 - Changes in technology
 - Changes in what consumers want
 - Products and Services becoming obsolete
 - **How new business ideas come about?**
 - Adapting existing products and services
 - Coming up with a brand new original idea
- Risk and Reward
 - Business failure
 - Financial loss
 - Lack of security
 - Business success
 - Profit
 - Independence

- The role of business enterprise
 - **The purpose of business activity**
 - To Add Value
 - Branding
 - USP
 - Convenience
 - Quality and Design
 - To meet customer needs
 - To produce goods or services
- The role of Entrepreneurship
 - Organising resources
 - Making business decisions
 - Taking risks

THEME 1 TOPIC 2

- **Customer Needs**
 - **4 Main Customer Needs**
 - Price
 - Convenience
 - Choice
 - Quality
 - **How business meet these needs**
- **Market Research**
 - **Primary**
 - Questionnaires
 - Interviews
 - Surveys
 - Focus Groups
 - Observations
 - **Secondary**
 - Market Reports
 - Trade Associations
 - Government Reports
 - Internet

- **Market Research Data**
 - **Qualitative Data**
 - Opinions, Feelings, Beliefs about something
 - **Quantitative Data**
 - Numbers and statistics
- **The role of Social Media in collecting Market Research data**
 - How Social Media can help businesses find information and use it to improve their business
- **Market Segmentation**
 - The 6 ways in which a market can be segmented
 - How doing this helps a business?
- **Market Mapping**
 - Looks at competitors Price and Quality
 - Spotting a 'Gap in the market'

THEME 1 TOPIC 3

- CASHFLOW FORECAST

- **How to construct one and the formulas for:**

- **TOTAL INFLOWS**
 - All the income added together
- **TOTAL OUTFLOWS**
 - All the expenses added together
- **NET CASHFLOW**
 - $\text{TOTAL INFLOWS} - \text{TOTAL OUTFLOWS}$
- **CLOSING BALANCE**
 - $\text{NET CASHFLOW} + \text{OPENING BALANCE}$
- **OPENING BALANCE**
 - Always the previous months Closing Balance

- **The benefits to a business of completing a Cashflow Forecast**

- SALES REVENUE

- **How to calculate and the formula used:**
 - $\text{SELLING PRICE} \times \text{QUANTITY SOLD}$

- CALCULATING PROFIT

- **$\text{TOTAL REVENUE} - \text{TOTAL COSTS}$**

- PROFIT SPLIT INTO:

- **GROSS PROFIT**
 - **$\text{SALES REVENUE} - \text{COST OF SALES}$**
- **NET PROFIT**
 - **$\text{GROSS PROFIT} - \text{OTHER OPERATING EXPENSES AND INTEREST}$**

- ~~GROSS PROFIT MARGIN~~

- **$\frac{\text{GROSS PROFIT}}{\text{SALES REVENUE}} \times 100$**

- ~~NET PROFIT MARGIN~~

- **$\frac{\text{NET PROFIT}}{\text{SALES REVENUE}} \times 100$**

- ~~AVERAGE RATE OF RETURN (ARR)~~

THEME 1 TOPIC 5

- **STAKEHOLDERS**

- **Who they are?**
 - Internal
 - External
- **Different objectives**
 - The differences in what Stakeholders want from a business and what a business wants from them
- **How different Stakeholders can be in conflict with one another and a business**

- **TECHNOLOGY**

- **Different types businesses use**
 - E-Commerce
 - M-Commerce
 - Social Media
 - Digital Communications
 - Payment Systems
- **The benefits and drawbacks of each**

- **LEGISLATION IN BUSINESS**

- **CONSUMER LAW**

- Consumer Rights Act
- Consumer Protection Act

- **EMPLOYMENT LAW**

- Equality Act
- Data Protection Act
- Employment Rights Act
- National Minimum Wage

QUESTIONS THAT WILL COME UP....

- **There are 4 sections to the paper**
 - **SECTION 1:** Business questions based on Theme 1 Topic 1 Enterprise and Entrepreneurship
 - **SECTION 2:** Business questions based on Theme 1 Topic 2 Spotting a Business Opportunity
 - **SECTION 3:** Finance Questions (calculators required)
 - **SECTION 3:** Business questions based on Theme 1 Topic 5 External Influences

Section 1 and 2 will have a case study for some of your answers to be based on
- **Multiple Choice Questions (MCQs)**
 - *Make sure you read how many the question is asking you to choose*
- **1 Mark State or define questions**
 - *These need no more than a simple sentence – if appearing in Section 2 or 3 these will need application*
- **2 Mark Describe questions**
 - *These are likely to need a description or definition along with an example related to the case study*
- **3 Mark Questions**
 - *There will be a selection of 3 mark questions so remember to follow the structure*
- **6 Mark Questions**
 - *There will be 6 mark questions for you to answer so follow the structure for these (2 separate paragraphs)*
- **9 Mark Questions**
 - *There will be 9 mark questions for you to answer so follow the structure for these (3 separate paragraphs relating to your chosen option ONLY)*